



***Johnstone Supply
The Wallace Group
EMPLOYEE HANDBOOK***

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Welcome!

On behalf of everyone at Johnstone Supply The Wallace Group, we welcome you and wish you every success with our company.

We believe that each employee contributes directly to our company's growth and success, and we hope you take pride in being a member of our team.

This handbook was developed to share some of the expectations we have for our employees and to outline the policies, programs, and benefits available to eligible employees.

Employees should familiarize themselves with the contents of the employee handbook as soon as possible. The employee handbook is intended to answer many questions about employment with Johnstone Supply The Wallace Group.

We hope that your experience here will be challenging, enjoyable, and rewarding. Again, welcome!

Sincerely,

Tom Wallace
Jeff Green
Craig Wallace
Eric Wallace

Introduction

This handbook is designed to acquaint you with Johnstone Supply The Wallace Group and provide you with information about working conditions, employee benefits, and some of the policies affecting your employment. You should read, understand, and comply with all provisions of the handbook. It describes many of your responsibilities as an employee and outlines the programs developed by Johnstone Supply The Wallace Group to benefit employees. One of our objectives is to provide a work environment that is conducive to both personal and professional growth.

Employment with Johnstone Supply The Wallace Group is voluntarily entered into, and the employee is free to resign at will at any time, with or without cause.

Similarly, Johnstone Supply The Wallace Group may terminate the employment relationship at will at any time, with or without notice or cause, so long as there is no violation of applicable federal or state law.

No employee handbook can anticipate every circumstance or question about policy. As Johnstone Supply The Wallace Group continues to grow, the need may arise and the company reserves the right to revise, supplement, or rescind any policies or portion of the handbook from time to time as it deems appropriate, in its sole and absolute discretion. The only exception to any changes is our employment-at-will policy permitting you or Johnstone Supply The Wallace Group to end our relationship for any reason at any time. Employees will be notified of such changes to the handbook as they occur.

Policies set forth in this handbook are not intended to create a contract, nor are they to be construed to constitute contractual obligations of any kind or a contract of employment between Johnstone Supply The Wallace Group and any of its employees. The provisions of the handbook have been developed at the discretion of management and, except for its policy of employment-at-will, may be amended or cancelled at any time, at the company's sole discretion.

These provisions supersede all existing policies and practices and may not be amended or added to without the express written approval of the President of Johnstone Supply The Wallace Group.

Personal Appearance

Dress, grooming, and personal cleanliness standards contribute to the morale of all employees and affect the business image Johnstone Supply The Wallace Group presents to customers and visitors.

During business hours or when representing Johnstone Supply The Wallace Group, you are expected to present a clean, neat, and tasteful appearance. You should dress and groom yourself according to the requirements of your position and accepted social standards. This is particularly true if your job involves dealing with customers or visitors in person.

Your supervisor or department head is responsible for establishing a reasonable dress code appropriate to the job you perform. If your supervisor feels your personal appearance is inappropriate, you may be asked to leave the workplace until you are properly dressed or groomed. Under such circumstance, you will not be compensated for the time away from work. Consult your supervisor if you have questions as to what constitutes appropriate appearance. Where necessary, reasonable accommodation may be made to a person with a disability.

Customer Relations

Customers are our organization's most valuable asset. Every employee represents Johnstone Supply The Wallace Group to our customers and the public. The way we do our jobs presents an image of our entire organization. Customers judge all of us by how they are treated with each employee contact. Therefore, one of our first business priorities is to assist any customer or potential customer. Nothing is more important than being courteous, friendly, helpful, and prompt in the attention you give to customers.

Our personal contact with the public, our manners on the telephone, and the communications we send to customers are a reflection not only of ourselves, but also of the professionalism of Johnstone Supply The Wallace Group. Positive customer relations not only enhance the public's perception or image of Johnstone Supply The Wallace Group, but also result in greater customer loyalty and increased sales and profit.

Personnel Data Changes

It is the responsibility of each employee to promptly notify Johnstone Supply The Wallace Group of any changes in personnel data. Mailing addresses, telephone numbers, number and names of dependents, educational accomplishments, individuals to be contacted in the case of an emergency and other such status reports should be accurate and current at all times. If any personnel data has changed, notify your supervisor in writing.

Equal Employment Opportunity

In order to provide equal employment and advancement opportunities to all individuals, employment decisions at Johnstone Supply The Wallace Group will be based on merit, qualifications, and abilities. Johnstone Supply The Wallace Group does not discriminate in employment opportunities or practices on the basis of race, color, religion, sex, national origin, age, disability, or any other characteristic protected by law.

Johnstone Supply The Wallace Group will make reasonable accommodations for qualified individuals with known disabilities unless doing so would result in an undue hardship. This policy governs all aspects of employment, including selection, job assignment, compensation, discipline, termination, and access to benefits and training.

Any employees with questions or concerns about any type of discrimination in the workplace should immediately bring these issues to the attention of their immediate supervisor or the General Manager. Employees can raise concerns and make reports without fear of reprisal. Anyone found to be engaging in any type of unlawful discrimination will be subject to disciplinary action, up to and including termination of employment.

Outside Employment

An employee may hold a job with another organization as long as he or she notifies their supervisor in advance, meets all the requirements of their position, and satisfactorily performs his or her job responsibilities with Johnstone Supply The Wallace Group. All employees will be judged by the same performance standards and will be subject to Johnstone Supply The Wallace Group's scheduling demands, regardless of any existing outside work requirements.

If Johnstone Supply The Wallace Group determines that an employee's outside work interferes with performance or the ability to meet the requirements of Johnstone Supply The Wallace Group as they are modified from time to time, the employee may be asked to terminate the outside employment if he or she wishes to remain with Johnstone Supply The Wallace Group. Outside employment will present a conflict of interest if it has an adverse impact on Johnstone Supply The Wallace Group, its customers, or if the organization is in any way in competition with Johnstone Supply The Wallace Group.

If the conflict of interest cannot be resolved, it may become necessary to terminate the employee's employment with Johnstone Supply The Wallace Group.

Employment Categories

It is the intent of Johnstone Supply The Wallace Group to clarify the definitions of employment classifications so that employees understand their employment status and benefit eligibility. These classifications do not guarantee employment for any specified period of time. Accordingly, the right to terminate the employment relationship at will at any time is retained by both the employee and the company, with or without cause.

Each employee is designated as either NON-EXEMPT or EXEMPT from federal and state wage and hour laws. NON-EXEMPT employees are entitled to overtime pay under the specific provisions of federal and state laws. EXEMPT employees are excluded from specific provisions of federal and state wage and hour laws. An employee's EXEMPT or NON-EXEMPT classification may be changed only upon written notification by Johnstone Supply The Wallace Group's management.

In addition to the above categories, each employee will belong to one other employment category:

Regular Full – Time: employees are those who are not in a temporary or introductory status and who are regularly scheduled to work Johnstone Supply The Wallace Group's full-time (40 hours per week) schedule. Generally, they are eligible for Johnstone Supply The Wallace Group's benefit package, subject to the terms, conditions, and limitations of each benefit program. The company reserves the right to

modify the Benefits Package.

Part – Time: employees are those who are not assigned to a temporary or introductory status and who are regularly scheduled to work less than 40 hours per week. While they do receive all legally mandated benefits (such as Social Security and workers' compensation insurance), they are generally ineligible for Johnstone Supply The Wallace Group's other benefit programs, unless required per the terms, conditions, and limitations of each benefit program.

Introductory: employees are those whose performance is being evaluated to determine whether further employment in a specific position or with Johnstone Supply The Wallace Group is appropriate. Upon satisfactory completion of the introductory period, employees enter the "regular" employment classification. Generally, they are eligible for Johnstone Supply The Wallace Group benefit package, subject to the terms, conditions, and limitations of each benefit program.

Temporary: employees are those who are hired as interim replacements, to temporarily supplement the work force, or to assist in the completion of a specific project. Employment assignments in this category are of a limited duration.

Employment beyond any initially stated period does not in any way imply a change in employment status. Temporary employees retain that status unless and until notified of a change. While temporary employees receive all legally mandated benefits (such as workers' compensation insurance and Social Security), they are ineligible for all Johnstone Supply The Wallace Group other benefit programs.

Introductory Period

The introductory period is intended to give new employees the opportunity to demonstrate their ability to achieve a satisfactory level of performance and to determine whether the new position meets their expectations.

Johnstone Supply The Wallace Group uses this period to evaluate employee capabilities, work habits, and overall performance. **Either the employee or Johnstone Supply The Wallace Group may end the employment relationship at will at any time during or after the introductory period, with or without cause or advance notice.**

All new and rehired employees work on an introductory basis usually for the

first 90 calendar days after their date of hire (this number- 90 days- can be changed by management at their discretion). Any significant absence will automatically extend an introductory period by the length of the absence. If Johnstone Supply The Wallace Group determines that the designated introductory period does not allow sufficient time to thoroughly evaluate the employee's performance, the introductory period may be extended for a specified period.

Upon satisfactory completion of the introductory period, employees enter the "regular" employment classification.

Employee Benefits

Eligible employees at Johnstone Supply The Wallace Group are provided a wide range of benefits. A number of the programs (such as Social Security, Workers' Compensation, and Unemployment Insurance) cover all employees in the manner prescribed by law.

Benefits eligibility is dependent upon a variety of factors, including employee classification. Details of many of these programs can be found elsewhere in the employee handbook. The following benefit programs are available to eligible, full-time employees:

- Jury Duty
- Bereavement Leave Policy
- Paid Holidays
- Paid Time Off (PTO)

- Health Insurance
- Dental Insurance
- Life Insurance
- 401(k) Savings Plan/Profit Sharing

Some benefit programs require contributions from employees, but others are fully paid by the company.

• Jury Duty

Employees in an eligible classification may request up to 2 weeks of paid jury duty leave.

Jury duty pay will be calculated on the employee's base pay rate times the number of hours, excluding overtime, the employee would otherwise have worked on the day of absence. During the time

Johnstone Supply The Wallace Group is paying the employee regular wages, the employee will reimburse the company all money they receive for serving jury duty (not including parking).

Regular, full-time employees qualify for paid jury duty leave.

If employees are required to serve jury duty beyond the period of paid jury duty leave, they may use any available paid time off, or they may request an unpaid jury duty leave of absence.

Employees must show the jury duty summons to their supervisor as soon as possible so that the supervisor may make arrangements to accommodate their absence. Employees are expected to report for work whenever the court schedule permits.

- **Bereavement Leave Policy**

The Bereavement Leave Policy establishes uniform guidelines for providing paid time off to employees for absences related to the death of immediate family members.

All full-time, active employees who need to take time off due to an immediate family member's death are eligible for up to 3 days of bereavement leave. Immediate family members are defined as an employee's spouse, and the employee's and spouse's parents, children, siblings, grandparents and grandchildren.

The company will request satisfactory proof that the absence was for the purpose of attending the funeral and/or making arrangements for such services.

An employee who wishes to take bereavement leave should notify his or her supervisor immediately. Bereavement pay is calculated based on the base pay rate at the time of absence, and will not include any special forms of compensation such as incentives, commissions, bonuses or overtime. Bereavement leave will normally be granted unless there are unusual business needs or staffing requirements.

An employee may, with his or her supervisor's approval, use any available PTO for additional time off as necessary.

- **401(k) Savings Plan**

Johnstone Supply The Wallace Group has established a 401(k) savings plan to provide employees the potential for future financial security for retirement. Eligible employees may participate in the 401(k) plan subject to all terms and conditions of the plan.

The 401(k) savings plan allows you to elect how much salary you want to contribute and direct the investment of your plan account, so you can tailor your own retirement package to meet your individual needs. Johnstone Supply The Wallace Group also contributes an additional matching amount to each employee's 401(k) contribution, subject to limits described in the plan, which may be amended from time to time.

Because your contribution to a 401(k) plan is automatically deducted from your pay before federal and state tax withholdings are calculated, you save tax dollars now by having your current taxable amount reduced. While the amounts deducted generally will be taxed when they are finally distributed, favorable tax rules typically apply to 401(k) distributions.

Complete details of the 401(k) savings plan are described in the Summary Plan Description provided to eligible employees.

- **Holidays**

Johnstone Supply The Wallace Group recognizes the following holidays:

- New Year's Day (January 1)
- Memorial Day (last Monday in May)
- Independence Day (July 4)
- Labor Day (first Monday in September)
- Thanksgiving Day (fourth Thursday in November)
- Christmas Day (December 25)

Johnstone Supply The Wallace Group will grant paid holiday time to all eligible employees. Holiday pay will be calculated based on the employee's straight-time pay rate (as of the date of the holiday) times the number of hours, excluding overtime, the employee would otherwise have worked on that day.

To be eligible for holiday pay, employees must work the day preceding and the day following the recognized holiday, unless advanced approval for PTO has been granted.

A recognized holiday that falls on a Saturday will usually be observed on the receding Friday. A recognized holiday that falls on a Sunday will usually be observed on the following Monday. We will also follow Federal and/or State recognized holiday determinations. If business requires us to be open, some eligible employees may be given another day in lieu of the observed holiday.

If a recognized holiday falls during an eligible employee's paid absence, holiday pay will be provided instead of the paid time off benefit that would otherwise have applied.

- **Paid Time Off (PTO)**

Paid Time Off (PTO) is an all-purpose time-off policy for eligible employees to use for vacation, illness or injury, and personal business. It combines traditional vacation and sick leave plans into one flexible, paid time-off policy. Regular full-time employees are eligible to earn and use PTO as described in this policy.

Once employees enter an eligible employment classification, they begin to earn PTO. The amount of PTO employees receive each year increases with the length of service.

	In the year hired*	At 1-year anniversary	At 2-year anniversary	At 3, 4 & 5-year anniversary	At 6yrs	At 9 yrs	At 12 yrs	At 15 yrs	At 18 yrs
		All awarded in Jan. of anniversary year, but may not use until after anniversary date, unless approved in advance by mgmt.			All awarded the Jan. following the anniversary date				
If hired in:	Eligible for this # of PTO Days								
JAN	5	10	13	15	16	17	18	19	20
FEB	4.5	10	13	15	16	17	18	19	20
MAR	4	10	13	15	16	17	18	19	20
APR	3.5	10	13	15	16	17	18	19	20
May	3	10	13	15	16	17	18	19	20
JUN	2.5	10	13	15	16	17	18	19	20
JUL	2	10	13	15	16	17	18	19	20
AUG	1.5	10	13	15	16	17	18	19	20
SEP	1	10	13	15	16	17	18	19	20
OCT	0.5	10	13	15	16	17	18	19	20
NOV	0	5	13	15	16	17	18	19	20
DEC	0	5	13	15	16	17	18	19	20
*Not to be used until 90 calendar day introductory period is complete.									

PTO can be used in minimum increments of one-half day. Employees who have an unexpected need to be absent from work should notify their direct supervisor before the scheduled start of their workday. The direct supervisor must also be contacted on each additional day of unexpected absence.

To schedule PTO, employees must give their supervisor a minimum of four (4) weeks' notice with the exception of PTO Summer Requests. Please see Paid Time Off (PTO) Summer Requests for more requirements.

Requests will be reviewed based on a number of factors, including business needs and staffing requirements. Conflicting vacations will be resolved by management and based upon the Wallace Group's current needs. PTO requests are not guaranteed. Those that are not scheduled in advance may be declined. The Company President will review with direct supervisor(s) and make a final decision on whether to approve or not.

PTO is paid at the employee's base pay rate at the time of absence. It does not include overtime or any special forms of compensation such as incentives, commissions, or bonuses.

As an additional condition of eligibility for PTO, an employee on an extended absence for illness or injury must apply for any other available

compensation and benefits, such as FMLA (Family and Medical Leave Act). The company requires employees to use FMLA and PTO concurrently. The combination of any such payments and PTO cannot exceed the employee's normal weekly earnings.

- **Paid Time Off (PTO) Summer Requests**

For the purposes of this policy, “summertime” is defined as the period from May 15th through August 15th.

To schedule PTO Summer Requests of three (3) or more consecutive days, employees must make requests prior to April 1st of the current calendar year. In addition to normal PTO time awarded for years’ of service, the company will award one (1) additional PTO day (8 hours) to any eligible employee who takes no more than five (5) days and no more than two (2) consecutive days off in the summertime.

Eligible employee is defined as an employee who has completed at least one (1) or more years of service.

Consecutive days are defined as two (2) days Monday through Friday, the business day before and after the weekend, and/or the business day before and after a holiday.

Days off are defined as any planned and/or unplanned time including PTO, Leave without pay, absence, FMLA, Bereavement, Jury Duty, and Workers Compensation.

The additional PTO day must be used from September 1st through December 31st of the current calendar year and is subject to supervisor approval.

The additional PTO day will be added to employees Time Off Balances in the payroll system. Employees must email an Additional PTO Day Request Form to the Human Resources department (HR123@jswallacegroup.com) to be awarded the additional PTO day. All requests must be submitted by October 1st.

Additional PTO Day Request Forms are available on the Shared (T) Drive>Public Folder>Employee Forms Folder and in Isolved>Employee Self-Service>Company Information.

In the event that available PTO is not used by the end of the calendar year, employees will be paid for up to 40 hours and will forfeit the remaining unused portion of PTO. Employees who leave the company, or are the subject of lay off or involuntary termination, forfeit any unused PTO.

- **Health Insurance**

Johnstone Supply The Wallace Group's health insurance plans provide eligible employees and their dependents access to medical, dental, and vision insurance benefits.

Eligible employees may participate in the medical, dental, and/or vision insurance plans subject to all terms and conditions of the agreement between Johnstone Supply The Wallace Group and the insurance carrier.

Spousal Eligibility Rule – If your spouse is offered medical, dental, and/or vision coverage through their employer, they are **NOT** eligible for coverage under our plan. Any employee wishing to enroll their spouse in any of our plans must complete a Spousal Eligibility form and provide a letter from their spouse's employer attesting that their spouse is **NOT** offered coverage.

A change in employment classification that would result in loss of eligibility to participate in health insurance plans may qualify an employee for benefits continuation under the Consolidated Omnibus Budget Reconciliation Act (COBRA).

Complete details, including information on costs of coverage, are described in the Summary of Benefits provided to eligible employees. Johnstone Supply The Wallace Group reserves the right, at its sole discretion, to change health and dental insurance carriers, insurance plans and employee contribution amounts.

- **(COBRA) Benefits Continuation**

The federal Consolidated Omnibus Budget Reconciliation Act (COBRA) gives employees and their qualified beneficiaries the opportunity to continue health insurance coverage under Johnstone Supply The Wallace Group health plan when a "qualifying

event" would normally result in the loss of eligibility. Some common qualifying events are resignation, termination of employment, or death of an employee; a reduction in an employee's hours or a leave of absence; an employee's divorce or legal separation; and a dependent child no longer meeting eligibility requirements.

Under COBRA, the employee or beneficiary pays the full cost of coverage at the company's group rates plus an administration fee. Johnstone Supply The Wallace Group provides each eligible employee with a written notice describing rights granted under COBRA when the employee becomes eligible for coverage under Johnstone Supply The Wallace Group's health insurance plan. The notice contains important information about the employee's rights and obligations.

- **Life Insurance**

Johnstone Supply The Wallace Group's life insurance plan provides all eligible full-time employees with a \$50,000 Life and Accidental Death & Dismemberment policy. New employees are eligible on the 1st of the month following 90 calendar days of employment.

- **Workers Compensation Insurance**

Johnstone Supply The Wallace Group provides a comprehensive workers compensation insurance program at no cost to employees. This program covers any injury sustained in the course of employment that requires medical, surgical, or hospital treatment. Subject to applicable legal requirements, workers' compensation insurance provides benefits after a short waiting period or, if the employee is hospitalized, immediately.

Employees must immediately report any on-the job injury (even if the injury does not require medical attention) or accident (regardless of severity) to their supervisor. An accident is any unplanned event that disrupts normal work activities and may or may not result in injury or property damage. Communication between the employee and his or her supervisor is essential to ensuring that the employee receives timely and appropriate care, and helps to ensure the employee's return to work. Any employee who fails to immediately report an injury or accident will be subject to disciplinary action up to and including termination.

Neither Johnstone Supply The Wallace Group nor the insurance carrier will be liable for the payment of workers' compensation benefits for injuries that occur during an employee's voluntary participation in any off-duty recreational, social, or athletic activity sponsored by Johnstone Supply The Wallace Group

Timekeeping

Accurately recording time worked is the responsibility of every employee. Federal and state laws require Johnstone Supply The Wallace Group to keep an accurate record of time worked in order to calculate employee pay and benefits. Time worked is all the time actually spent on the job performing assigned duties.

Non-exempt employees must utilize the online time card system, (a personal account will be set up at the beginning of employment) to record the time they begin and end their work period, as well as the beginning and ending time of each meal period.

They should also record the beginning and ending time of any split shift or any departure from work for personal reasons. Overtime work must always be approved before it is performed.

Working off the clock is implicitly prohibited. All worked time must be recorded.

Altering, falsifying, tampering with time records, or recording time on another employee's time record may result in disciplinary action, up to and including termination of employment.

Overtime

When operating requirements or other needs cannot be met during regular working hours, employees will be given the opportunity to volunteer for overtime work assignments. **All overtime work must receive supervisor's prior authorization.**

Overtime assignments will be distributed as equitably as practical to all employees qualified to perform the required work.

Overtime compensation is paid to all non-exempt employees in accordance with federal and state wage and hour restrictions. Overtime pay is based on actual hours worked. PTO (Paid Time Off), Sick, Vacation, Holiday or any leave of absence will not be considered hours worked for purposes of performing overtime calculations.

Paydays

All employees are paid bi-weekly. Each paycheck will include earnings for all work performed through the end of the payroll period.

Employees will have their pay directly deposited into their bank accounts. Completion of a Direct Deposit Form is required at the time of hire. Employees have online access to an itemized statement of wages once Johnstone Supply The Wallace Group makes direct deposits.

Attendance and Punctuality

To maintain a safe and productive work environment, Johnstone Supply The Wallace Group expects employees to be reliable and to be punctual in reporting for scheduled work. Absenteeism and tardiness place a burden on other employees and on Johnstone Supply The Wallace Group. In the rare instances when employees cannot avoid being late to work or are unable to work as scheduled, they should notify their supervisor as soon as possible in advance of the anticipated tardiness or absence.

Poor attendance and excessive tardiness are disruptive and may lead to disciplinary action, up to and including termination of employment.

Failure to report to work or notify the supervisor of absence for two consecutive days will be considered a voluntary resignation.

Timely and regular attendance is a performance expectation of all Johnstone Supply The Wallace Group's employees. Consequently, those employees who exhibit unsatisfactory attendance will have a 10% reduction in their bonus for each occurrence. This includes arriving after assigned/scheduled work time and leaving work prior to the end of assigned/scheduled work time without prior supervisory approval.

Use of Telephones

Personal use of company telephones for long-distance/toll calls is not permitted. Employees should also practice discretion when making local personal calls during work hours, using either company phones or personal cell phones.

Employees may be required to reimburse Johnstone Supply The Wallace Group for any charges resulting from their personal use of the telephone.

To ensure effective telephone communications, employees should always speak in a courteous and professional manner. Please confirm information received from the caller, and hang up only after the caller has done so.

Technology Business Use Policy

The Company provides certain employees with computer equipment and a variety of technologies, including the capability to send and receive electronic mail (e-mail) and access to the Company's Intranet and the Internet, all in order to assist employees in carrying out the Company's business. However, the Company's computer equipment and the e-mail, Intranet and Internet systems are all Company property and are not for an employee's personal use other than minimal and incidental use which is not otherwise in violation of any provision contained in this policy.

- The Company has established this Policy for using the Company's computer equipment, mobile devices and the e-mail, the Intranet and the Internet. Mobile devices, for the purposes of this handbook, are defined as all company issued iPhones, iPads, Android mobile phones and any tablet or mobile phone. Any unauthorized or improper use of the computer equipment, e-mail, the Intranet or the Internet is not acceptable and will not be permitted. Every employee has a responsibility to maintain, protect and enhance the Company's reputation and public image and to use Company computers and e-mail, Intranet and Internet access in a proper and productive manner.
- In addition to situations where employees use Company computers or mobile devices to access the Company's e-mail, Intranet and Internet systems, this Policy also applies to the following:
- any personal or non-business related Internet access or accounts where Company computer systems are used;

- the use of personal or non-Company-owned computers to access Company email, Intranet and Internet accounts and sites;
- the use of customers' computers by billable or field personnel of the Company while on the job;
- the activities of any consultant, independent contractor or other person who is not an employee of the Company but who is permitted to use the Company's computer equipment or granted access to the Company's e-mail, Intranet or Internet systems; and
- not only computers, but the use of any networking device, wireless access device, modem or other information technology that is used to access the Company's network.

• **Prohibited Uses of Company Computers, E-Mail, Intranet, Internet**

Use of the Company's computer equipment, mobile devices, e-mail system, Intranet and Internet access to transmit, download, retrieve or store any communications or materials that are in violation of Company policy or contrary to the Company's best interests or in violation of federal or state law is prohibited. Examples of prohibited communications and materials include:

- discriminatory or harassing messages or materials of any kind;
 - sexually-explicit, pornographic or obscene messages, cartoons, jokes or images;
- defamatory or libelous messages;
- communications that disclose personal information about Company personnel without authorization;
- junk mail and chain letters;
- unwelcome propositions or love letters;
- messages or materials containing abusive, profane or offensive language;
- ethnic or racial slurs; or
- any other message, remarks or materials that can be construed to be harassment or disparagement of others based on their sex, race, sexual orientation, age, national origin, disability, religious, or political beliefs.

Also, e-mail, Intranet and Internet access should not be used to solicit or convert for outside business or commercial ventures, religious or personal causes or outside organizations, or other similar, non-**Company-related**

solicitations: The Company's Equal Employment Opportunity and Anti-Harassment Policy applies in full to computer, mobile devices, e-mail, Intranet and Internet use. If an employee receives any e-mail or computer file that is prohibited by this paragraph, the employee should delete that e-mail or file immediately or, if appropriate, forward the e-mail or file to a Manager or member of the Executive Team.

- **Electronic Data and Communications Are Not Private or Personal; Company May Monitor, Delete and Disclose Messages and Files**

Employees do not have a personal privacy right regarding any item sent, received, created or stored on or from the Company's computer equipment or e-mail, Intranet or Internet systems.

The Company monitors and inspects how employees use computers, e-mail, the Intranet and the Internet.

The Company engages in this monitoring in order to, among other things, measure cost, the use of Company resources, and the management of the Company's gateway to the Internet. Any attempt to tamper with or disrupt this monitoring process will result in disciplinary and corrective action up to and including termination of employment.

All messages, images, and files created, sent or received over the Company's computer equipment, mobile devices or e-mail, Intranet or Internet systems are the Company's property and should *not* be considered private or personal information. The Company reserves the right to access, review, copy or delete every message and file on the Company's computer equipment, mobile devices or e-mail, Intranet or Internet systems for any purpose and to disclose them to any party (inside or outside the Company) it deems appropriate, whether the message contains business or personal information. Despite the existence of any passwords, employees should not assume that any electronic communication or document is private. Highly confidential information or data should be transmitted in other ways.

- **Rules for Electronic Communications**

Employees should bear in mind that their e-mail messages may be read by someone other than the person to whom they are sent and may even

someday have to be disclosed to outside parties or in court in connection with a lawsuit.

Accordingly, employees must take care to ensure that their messages are courteous, professional and businesslike, and that the tone and words they use would not cause embarrassment to themselves or the Company if the message were made public. Each employee is responsible for the content of all text, audio or images that he or she places on or sends over the Company's e-mail, Intranet or Internet systems. Employees may not hide their identities or represent that any e-mail or other electronic communications were sent from someone else or someone from another Company. Employees should be sure that their name appears in all messages communicated on the Company's e-mail, Intranet or Internet systems.

Any messages or information sent by an employee to another individual outside the Company via the Company's e-mail or Internet system (including bulletin boards, online services or Internet sites) are statements that reflect on the Company. Despite personal "disclaimers" in electronic messages, any statements may be tied to the Company.

- **Password Policy**

Employees are required to change their network password every 90 days and are encouraged to change their passwords to other technical resources on a regular basis. At no time should any Company employee provide their login or e-mail Password to anyone except in limited situations due to business necessity. If an employee discloses his or her password to someone else, the employee may be held responsible for any activities of that other person while using that password.

- **Protection of Company Confidential Information**

Due to the ease by which electronic information can be redistributed and security concerns relating to the Internet, employees must exercise a particularly high degree of caution in transmitting Company confidential information via e-mail or the Internet. Company confidential information should never be transmitted or forwarded to outside individuals or companies not authorized to receive that information and should not even be sent or forwarded to other employees inside the Company who do not clearly need to know the information. Examples of Company confidential information are client lists, employee lists, internal

financial statements and information, strategic and business plans, Company policies and procedures, and customer project plans, designs, drawings and databases. Employees need to use care in addressing e-mail messages to make sure that messages are not inadvertently sent to outsiders or to the wrong person inside the Company. In particular, employees should exercise care when using distribution lists to make sure that all addressees are appropriate recipients of the information and that the lists are current. Employees should refrain from routinely forwarding messages containing Company confidential information to multiple parties unless there is a clear business need to do so. In order to further guard against dissemination of confidential Company information, it is suggested that employees not access their e-mail messages for the first time in the presence of others. E-mail windows should not be left open on the screen when the computer is unattended. The use of screen saver and password protection options in Microsoft Windows, which can automatically secure an employee's computer when the employee leaves his or her desk, is encouraged.

- **Storing and Deleting E-Mail Messages**

The Company strongly discourages the storage of large numbers of e-mail messages for many reasons (to reduce the time and cost involved in searching for messages and other information on the system and to maximize system performance, among others). Accordingly, employees should promptly delete any e-mail messages they send or receive that no longer require action or are not necessary to an ongoing project or records. Employees should look through their messages periodically (perhaps monthly) to identify messages that are no longer needed and should be deleted. However, Company counsel may on occasion instruct employees not to delete messages relating to ongoing litigation, in which case those instructions must be followed. The Company may, from time to time, establish time periods after which all e-mail messages and Public Folder content will automatically be deleted.

- **Other Security and Network Issues; Internet Access Only Through Company Firewall**

The flow of all information to and from the Internet using personal computers (PC's) connected to the Company's internal computer network will go through the

firewall that has been established for that purpose. To avoid introducing corrupt data to the Company's computer network and to reduce security risks, there should be no direct Internet modem connections from PC's, regardless if they are or are not linked to the Company's network. The Company's Internet gateway has been established for this purpose and, as such, should be employees' sole entrance point to the Internet. Any attempt to gain unauthorized access to resources on the network or to hijack or redirect network connections is prohibited. No employee shall intentionally interfere with the normal operation of any of the Company's computer networks, including activities which result in sustained high volume network traffic that substantially hinders others in their use of the network. No employee may examine, change, use or delete another person's files, output or user name without the other person's explicit prior authorization (and except for actions by network administrators and other management personnel acting in accordance with Company policy or guidance from Company's Human Resources Department or Legal Department).

- **Downloading Software**

Any and all software that is downloaded from the Internet must be registered to the Company. However, rather than downloading software from the Internet themselves, employees should forward their requests for new software to IT, which will assist employees in installing any approved software. Employees should never download software off of Internet bulletin boards. Employees should be aware that downloading or transmitting pirated software could lead to civil or criminal actions against the employee and the Company.

- **Copyright and Trademark Issues**

Copyrighted and trademarked materials, documents or software that do not belong to the Company may not be transmitted or downloaded by employees on the Company's e-mail, Intranet or Internet systems without permission from the holder of the copyright or trademark. Every employee who obtains access to other companies' or individuals' materials must respect all copyrights and trademarks and may not copy, retrieve, modify or forward copyrighted materials, except with permission or as a single copy for reference only.

- **Violations (of any portion of above Technology Business Use Policy)**

Any employee who violates these rules or otherwise abuses the privilege of the Company's computer, e-mail, Intranet or Internet systems will be subject to disciplinary and corrective action, up to and including termination of employment. If necessary, the Company also reserves the right to advise appropriate law enforcement officials of any illegal activities. The Company reserves the right to change this Policy at any time.

Workplace Monitoring

Workplace monitoring may be conducted by Johnstone Supply The Wallace Group to ensure quality control, employee safety, security, and customer satisfaction.

Computers furnished to employees are the property of Johnstone Supply The Wallace Group. As such, computer usage and files may be monitored or accessed and therefore employees should not have an expectation of privacy.

Johnstone Supply The Wallace Group may conduct video surveillance of non-private workplace areas. Video monitoring is used to identify safety concerns, maintain quality control, detect theft and misconduct, and discourage or prevent acts of harassment and workplace violence.

Because Johnstone Supply The Wallace Group is sensitive to the legitimate privacy rights of employees, every effort will be made to guarantee that workplace monitoring is done in an ethical and respectful manner.

Use of Equipment and Vehicles

Equipment and vehicles essential in accomplishing job duties are expensive and may be difficult to replace. When using company equipment and/or vehicles employees are expected to exercise care, perform required maintenance, and follow all operating instructions, safety standards, and guidelines.

Please notify the supervisor if any equipment, machines, tools, or vehicles

appear to be damaged, defective or in need of repair. Prompt reporting of damages, defects and the need for repairs could prevent deterioration of equipment and possible injury to employees or others. The supervisor can answer any questions about an employee's responsibility for maintenance and care of equipment or vehicles used on the job.

The improper, careless, negligent, destructive, or unsafe use or operation of equipment or vehicles, as well as excessive or avoidable traffic and parking violations, can result in disciplinary action, up to and including termination of employment. The driver will also be responsible for fines incurred while in company vehicle.

If a vehicle is damaged while being driven for personal use, the employee will be responsible for paying the deductible or one half of the repair bill, whichever is greater. If damaged while being used for company business, those cases will be handled on a case-by-case basis.

Personal use of vehicles is not permitted without prior authorization from the supervisor. Requests should be made via email or verbally from the supervisor.

Employee Conduct and Work Rules

To ensure orderly operations and provide the best possible work environment, Johnstone Supply The Wallace Group expects employees to follow rules of conduct that will protect the interests and safety of all employees and the organization.

It is not possible to list all the forms of behavior that are considered unacceptable in the workplace. The following are examples of infractions of rules of conduct that may result in disciplinary action, up to and including termination of employment:

- Theft or inappropriate removal or possession of property
- Working under the influence of alcohol or illegal drugs
- Negligence or improper conduct leading to damage of employer-owned or customer-owned property
- Excessive absenteeism or any absence without notice
- Unauthorized use of telephones, mail system, or other employer-owned equipment

Employment with Johnstone Supply The Wallace Group is at the mutual consent of the company and the employee, and either party may terminate that relationship at any time, with or without cause, and with or without advance notice.

Corrective Action Policy

Every reasonable effort will be made to assist each employee to succeed in his or her job. However, if performance is unsatisfactory, or if an employee violates rules of conduct, then corrective action will be initiated.

Corrective actions available to the company include, but are not limited to:

- verbal notice
- written notice
- suspension (must be approved by the supervisor and/or executive management)
- termination (must be approved by the supervisor and/or executive management)

Corrective action taken will be determined by the severity of the violation.

Reports of any corrective actions will be maintained in the employees' personnel file. Accumulations of corrective action reports (i.e. – verbal, written and/or suspension) may result in the utilization of more severe actions (i.e. suspension or termination).

Alcohol and Drug Abuse & Testing Policy

Johnstone Supply The Wallace Group has a strong commitment to its employees to provide a safe work environment and to promote high standards of employee health. Consistent with the spirit and intent of this commitment, Johnstone Supply The Wallace Group has established this policy regarding drug and alcohol abuse and testing.

Johnstone Supply The Wallace Group's goal is to establish and maintain a work environment that is free from the effects of alcohol and drug abuse.

The company expects its employees to report to work in appropriate mental and physical condition to perform their jobs in a safe, effective and

efficient manner. Johnstone Supply The Wallace Group recognizes that an employee's off-the-job as well as on-the-job involvement with drugs and alcohol can have an impact on the workplace and may present a substantial risk to the employee who is using alcohol, prescription and/or illegal drugs on the job, or to the employee's coworkers.

Possessing, using, transferring, offering or being under the influence of any intoxicating liquor in any circumstances which might adversely affect our operations or safety, including consuming alcohol prior to reporting to work or during breaks is prohibited.

Possessing, using, transferring, offering, or being under the influence of any narcotic, hallucinatory, stimulant, sedative, or drug while on company property, company time or in other circumstances which might adversely affect our operations or safety, including consuming such substances prior to reporting to work or during breaks is prohibited.

The legal use of prescribed drugs is permitted on the job only if it does not impair an employee's ability to perform the essential functions of the job effectively and in a safe manner that does not endanger other individuals in the workplace. The employee should notify their supervisor if they are taking prescription drugs that may impair their ability to perform their job.

Violations of this policy may lead to disciplinary action, up to and including immediate termination of employment, and/or required participation in a substance abuse rehabilitation or treatment program. Such violations may also have legal consequences.

Under the Drug-Free Workplace Act, an employee who performs work for a government contract or grant must notify the company of a criminal conviction for drug-related activity occurring in the workplace. The report must be made within five days of the conviction.

Employees with questions on this policy or issues related to drug or alcohol use in the workplace should raise their concerns with their supervisor or manager without fear of reprisal.

Pre-Employment Drug Testing:

- All applicants offered employment will be subject to drug testing prior to beginning employment. Any positive result will disqualify the

applicant from employment and will result in Johnstone Supply The Wallace Group revoking the employment offer.

- All information from an applicant's drug and alcohol tests will be confidential to the extent required by law.

Smoking Policy

Smoking is not permitted in any company buildings or company vehicles.

Sexual and Other Unlawful Harassment

Johnstone Supply The Wallace Group has zero tolerance for harassment and discrimination and is committed to providing a work environment that is free from all forms of discrimination and conduct that can be considered harassing, coercive, or disruptive, including sexual harassment. Actions, words, jokes, or comments based on an individual's sex, race, color, national origin, age, religion, disability, or any other legally protected characteristic will not be tolerated.

Sexual harassment is defined as unwanted sexual advances, or visual, verbal, or physical conduct of a sexual nature or any other action that affects an individual's terms, conditions, or opportunities of employment based on membership in a protected class. This definition includes many forms of offensive behavior and includes gender-based harassment of a person of the same sex as the harasser.

The following is a partial list of sexual harassment examples:

- Unwanted sexual advances.
- Offering employment benefits in exchange for sexual favors.
- Making or threatening reprisals after a negative response to sexual advances.
- Visual conduct that includes leering, making sexual gestures, or displaying of sexually suggestive objects or pictures, cartoons or posters.
- Verbal conduct that includes making or using derogatory comments, epithets, slurs, or jokes.
- Verbal sexual advances or propositions.
- Verbal abuse of a sexual nature, graphic verbal commentaries about an individual's body, sexually degrading words used to describe an individual, or suggestive or obscene letters, notes, or invitations.

- Physical conduct that includes touching, assaulting, or impeding or blocking movements. Unwelcome sexual advances (either verbal or physical), requests for sexual favors, and other verbal or physical conduct of a sexual nature constitute sexual harassment when: (1) submission to such conduct is made either explicitly or implicitly a term or condition of employment; (2) submission or rejection of the conduct is used as a basis for making employment decisions; or, (3) the conduct has the purpose or effect of interfering with work performance or creating an intimidating, hostile, or offensive work environment.

If you experience, or witness, sexual or other unlawful harassment in the workplace report it immediately to your supervisor. If the supervisor is unavailable or you believe it would be inappropriate to contact that person, you should immediately contact any other member of management, such as the General Manager. You can raise concerns and make reports without fear of reprisal or retaliation.

All allegations of sexual harassment will be quickly and discreetly investigated. To the extent possible, your confidentiality and that of any witnesses and the alleged harasser will be protected against unnecessary disclosure.

Any supervisor or manager who becomes aware of possible sexual or other unlawful harassment must immediately advise the General Manager or any member of management so it can be investigated in a timely and confidential manner. Anyone engaging in sexual or other unlawful harassment will be subject to disciplinary action, up to and including termination of employment.

Confidentiality

In the course of your employment, you might have access to proprietary information of Johnstone Supply The Wallace Group. This proprietary information includes, but is not limited to, company pricing, costs, accounts receivable, accounts payable, sales information, customer lists, financial matters, accounting functions, and vendor information and pricing. If this valuable information is disclosed to unauthorized persons, the company could be harmed. In order to assure that this proprietary information is kept confidential, each employee is required to execute a confidentiality agreement prepared by company management.

Contract Review and Authorization

Employees are, under no circumstances, to enter into any contractual agreements— written or otherwise. The reason the company has centralized signature authority of contracts is because of problems occurring when employees enter into contracts on behalf of Johnstone Supply The Wallace Group without having authorization to do so, and without fully understanding the implications of the contract terms.

Only Johnstone Supply The Wallace Group owners are authorized to sign contracts or enter into a contractual agreement on behalf of the company.

Referral Bonus Program

The intent of the Referral Bonus Program is to provide an incentive for current employees to refer talented and qualified individuals to Johnstone Supply The Wallace Group for employment.

Good employees are the key to any successful business and Johnstone Supply The Wallace Group invites you to participate in this easy and rewarding program. If you know someone you feel would be a valuable addition to Johnstone Supply The Wallace Group, and they meet the qualifications for an existing full-time, open position, you could earn a Referral Bonus.

If the referred candidate is hired, and remains employed full-time for six (6) months, a \$1,000.00 bonus will be paid to the employee who referred the candidate. The referring employee must be actively working for the company in order to receive a referral bonus. Referral bonus payments are made on the next regularly scheduled pay date after the week in which the candidate meets six (6) months continuous employment.

Please note:

- *The candidate must indicate which employee referred them on their Employment Application during the company's Pre-Employment process.*
- *Completed Candidate Referral Forms must be emailed to the Human Resources Department at HR123@jswallacegroup.com. A resume or Employment Application must be submitted with the Candidate Referral Form.*

- *Candidate Referral Forms can be found in Isolved by going to Employee Self-Service>Company Information Page*

Program Rules

1. All Johnstone Supply The Wallace Group employees, except managers with hiring authority over referred candidates and others who have direct influence over hiring decisions, are eligible to refer candidates.
2. The referral date cannot be earlier than the date the job is posted.
3. Referred candidates must be hired within six (6) months of the initial referral date.
4. Referrals must represent the candidate's first contact with Johnstone Supply The Wallace Group. Part-time, seasonal, temporary, contract and former employees of Johnstone Supply The Wallace Group are not referable candidates.
5. The first employee to refer a candidate for a posted position is the only employee eligible to receive a referral bonus.
6. Only candidates who meet the essential qualifications for the position will be considered.
7. All candidates will be evaluated for employment consistent with Company policies and procedures.
8. The referring employee must still be employed by Johnstone Supply The Wallace Group during the hired candidate's first year of employment in order to receive payment.
9. All referral bonus payments will be paid through payroll (with applicable taxes & deductions taken) upon successful completion of the referred employee's first year of employment.

Program Definitions

- ✓ Referral: An employee, through his contacts and personal connections recommends that the candidate submit an application to Johnstone Supply The Wallace Group. The candidate, upon hearing the employee recommended Johnstone Supply The Wallace Group, then submits his application. The candidate must put the referring employee's name on the initial employment application.
- ✓ Recommendation: A candidate, of his or her own accord comes to Johnstone Supply The Wallace Group looking for work, or has

already applied online, should be routed to Human Resources. This is not a referral for the purposes of a referral bonus payment. The employee may recommend a candidate that they know and who is already in the process, but it is only considered a referral if they bring the candidate to Johnstone Supply The Wallace Group first through proactive communication.

Employment Termination

Termination of employment is an inevitable part of personnel activity within any organization, and many of the reasons for termination are routine. Below are examples of some of the most common circumstances under which employment is terminated:

- Resignation - voluntary employment termination initiated by an employee.
- Discharge - involuntary employment termination initiated by the company
- Layoff - involuntary employment termination initiated by the organization for non-disciplinary reasons.

At the termination of the employment relationship, whether voluntary or involuntary, employees shall immediately return all company property, including, but not limited to company vehicle, computer and/or phone, and the company property must be in the same condition as when first provided to employee, ordinary wear and tear excepted. The company reserves the right to seek monetary damages from the employee for violation of this obligation to return the property in the same condition as when first provided to the employee.

Some benefits may be continued at the employee's expense if the employee so chooses. The employee will be notified in writing of the benefits that may be continued and of the terms, conditions, and limitations of such continuance.

Since employment with Johnstone Supply The Wallace Group is based on mutual consent, both the employee and the company have the right to terminate employment at will, with or without cause, at any time. Employees will receive their final pay in accordance with applicable state law.

Employee Acknowledgement Statement

The employee handbook provides important information about Johnstone Supply's Wallace Group, and I understand that I should consult with management regarding any questions not answered in the handbook. A&B Supply Co. Inc. and Wallace Supply, LLC, both doing business as Johnstone Supply The Wallace Group, will be referred to as the company from this point forward.

Since the information, policies, and benefits described here are subject to change, I acknowledge that revisions to the handbook may occur. All such changes will be communicated through official notices, and I understand that revised information may supersede, modify, or eliminate existing policies. Only the Executive Management Team has the ability to adopt any revisions to the policies in this handbook.

Furthermore, I acknowledge that this handbook is neither a contract of employment nor a legal document. I have received the handbook, and I understand that it is my responsibility to read and comply with the policies contained in this handbook and any revisions made to it.